

Business Economics



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Fall

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Topic 1: Human Behavior and Economic Rationality

Objectives:

- Describe the economic model of behavior.
- Apply marginal analysis to managerial decisions.
- Apply the concept of opportunity cost.
- Describe decision-making under uncertainty.
- Contrast the economic model with other behavioral models used by managers.

Why Do We Need a Model of Economic Behavior?

- We need a framework to understand how people make decisions.
- Managers, employees, suppliers, and customers:
 - They tend to decide in ways that are consistent with their own interests.
- Different framework of decision-making can lead different actions when facing the same challenge.

Economic Model of Economic Decision-Making

Main ingredients:

- **Unlimited wants**
 - Material items: wealth and assets.
 - Time and leisure activities.
 - Intangibles: reputation, affection, religion, and status.
 - Altruism, help others.
- **Limited resources**
 - Current property or future properties (e.g., borrowing against future income).
 - Time: 24 hours, expected lifetime.

The Economic Choice

Individuals rank their wants and choose their most preferred option among the alternatives available to them.

- we do not assume people are supercomputers.
 - knowledge is imperfect and information is not always complete.
 - cognitive limits affect how people store, process, and communicate information.
- purposeful action: people choose the alternative that gives them the greatest satisfaction.

Economic Choice Exercise

For each case, identify:

1. Preferences and alternatives
 2. Resources under consideration.
 3. Information limits and bounded rationality.
- A customer ordering a meal at McDonald's.
 - A manager deciding which products to include on a menu.

Economic Choice: McDonald's



SPICY MEALS		MAHARAJA MAC™		ADD TO YOUR MEAL	DESSERTS
BigSpicy™ Wrap		McSpicy™		Piri Piri for just ₹ 21	Phirni McFlurry™
Chicken	WRAP MED MEAL ₹182 ₹289 SAVE ₹90	Chicken	BURGER MED MEAL ₹147 ₹254 SAVE ₹90		Infused with Rice Dots
Paneer	₹177 ₹284 SAVE ₹90	Paneer	₹143 ₹250 SAVE ₹90		REGULAR MEDIUM
				CHICKEN McNUGGETS™	McFLURRY™ DREGO®
				6 PCS 9 PCS	₹70 ₹97
				₹123 ₹185	McFLURRY™ CHOCO CRUNCH
					₹70 ₹97
					SOFT SERVE (HOT FUDGE/STRAWBERRY)
					₹74
CLASSIC MEALS		EXTRA VALUE MEALS		BEVERAGES	BREAKFAST
McChicken™		McAloo Tikki™			EGG AND CHEESE McMUFFIN™
BURGER MED MEAL	₹99 ₹206 SAVE ₹90	BURGER MED MEAL	₹41 ₹148 SAVE ₹90		₹68
					VEG McMUFFIN™
					₹81
					DOSA MASALA BRIOCHE (SINGLE PATTY)
					₹48
McVeggie™		Chicken Kebab Burger		SOFT DRINKS	
BURGER MED MEAL	₹90 ₹197 SAVE ₹90	BURGER MED MEAL	₹74 ₹181 SAVE ₹90	SMALL MEDIUM LARGE	
				₹68 ₹74 ₹83	
				ICED TEA ₹44 ₹70	
				COLD COFFEE ₹85	

Marginal Analysis

- Marginal costs and benefits are the incremental costs and benefits associated with a decision.
- Take an action when its incremental benefits exceed its incremental cost.
- Focusing on marginal changes in benefits and costs is a cornerstone of economic analysis.
- **Sunk cost:** previous payments under a breached contract; time already spent applying for a job.
 - Sunk costs and benefits do not affect a current decision.

Opportunity Costs

- The opportunity cost of using a resource is the net value of **its best feasible alternative use**.
 - Feasible alternatives depend on property rights, contracts, transaction costs, and the organization's capabilities.
- Opportunity costs belong in marginal cost.
- Implicit costs matter as much as explicit costs.
 - e.g., reputational damage from breaching a contract; less leisure time after accepting a job.

Exercise 1

Car Systems Limited installs GPS tracking systems on trucks and cars.

- A mining company offers **\$20,000** for an installation.
- Labour and other materials cost **\$15,000**.
- The GPS devices are in stock. Their historical cost was **\$2,000**; their current market price is **\$6,000**.

Should the company accept the offer? Identify the wants and alternatives, resources, marginal costs and benefits, and sunk costs and benefits.

Exercise 2

For each case, identify the resource's best alternative use, including implicit and explicit costs.

1. An entrepreneur hires a manager to run the current project and moves to the next project.
2. A football player considers an offer from a better-paying league in another country with a different language.
3. A borrower considers not repaying a bank loan.
4. A bakery manager considers dismissing a baker who is losing their sight.

Economic Choice Discussion

Discuss each case in terms of:

1. The decision-maker.
2. Limited resources.
3. Alternative uses.
4. Marginal analysis.
5. Opportunity costs, both implicit and explicit.

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Exigen a Pluspetrol Norte controlar el derrame de crudo en el río amazónico de Perú

Redacción 14/05/21

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Se acerca el dilema de la "última cama": red asistencial en la RM llega al 99% de ocupación

por El Mostrador | 2 junio, 2021



Crédito: ATON

Varios recintos hospitalarios de la Región Metropolitana ya tienen un 100% de ocupación de camas críticas. Es el caso del Hospital el Carmen de Maipú, cuyo director, Juan Kehr, sostuvo que se trata de una "situación bastante apremiante, en el sentido de que hemos tenido pacientes que muchas veces requieren de ser intubados y luego conectados a



Managerial Implications

- The economic choice model also applies to management problems.
- Managers seek to affect the behavior of employees, customers, union leaders, and subcontractors.
- In the economic approach, actions result from people's economic choices as they seek to maximise personal utility.
- Changing the opportunities people face can change their choices and actions.
- How can managers change employees' opportunities beyond salary?
- How can managers change customers' opportunities beyond pricing?

Incentives in Practice

 MarketScreener

Symbol or Keyword(s)

MARKETS

NEWS

ANALYSIS

STOCK PICKS

PORTFOLIOS

WA

SAP : How Can Total Compensation Management Help Motivate Your Distributed Workforce?

09/16/2021 | 07:22am EDT



Google's Salary Cuts for Remote Workers Renew Location-Based Pay Debate

Employees who choose remote work over long commutes could pay a price



By [Stephen Miller, CEBS](#)

August 18, 2021

Incentives in Practice: Remote Work

[Our Firm](#) ▾[Services](#) ▾[Industries & Clients](#) ▾[Pricing Software](#)

What is Pricing Management?

Effective Pricing Management helps you integrate and apply critical pricing information and perspectives.

Pricing Management is the process of integrating all perspectives and information necessary to consistently arrive at optimal pricing decisions. Therefore, strong price management capabilities result in effective management of financial risk and revenue. The process entails:

- Balancing company growth, share, and profit objectives
- Gathering and managing information databases within systems
- Defining roles and responsibilities with respect to pricing
- Navigating the organizational politics of different functional interests, and
- Managing various pricing-related workflows

Preferences and Constraints

Individuals seek the highest level of satisfaction possible given the constraints they face.

- Business economics focuses mainly on opportunities and constraints rather than preferences.
- How can we change people's tastes?
- How can we observe or measure people's tastes?

Unintended Effects of Incentives

- Changes in opportunities and incentives affect employee behavior, but not always in the intended way.
- Example: incentive compensation in the USSR tried to discourage taxi drivers from simply parking their cabs.
- The economic model cannot forecast one individual's precise choice when preferences and cognitive capacities are hidden and changing.
- It is more useful for studying aggregate behavior or what a typical person tends to do.

Uncertainty

Most managerial decisions involve alternatives with uncertain outcomes.

Case: R&D investment.

Theravance Lays Off 270 in Aftermath of Cardiac Asset Failure

Published: Sep 15, 2021 | By Alex Keown



Smith Collection/Gado/Getty Images

Shares of **Theravance Biopharma** are rapidly declining after the company announced a Phase III cardiac drug **failed to meet its primary endpoint** and a significant shift in its R&D efforts that have resulted in the termination of 75% of its staff.

Uncertainty Exercise

Other cases:

- Hiring new employees.
- Adopting new production technologies.

For each case, identify the decision, its possible outcomes, and the associated risks.

Tools for Decisions Under Uncertainty

We need additional tools to handle uncertainty in these decisions.

$$E[\text{payoff}] = \sum_i (\text{payoff}_i \times \Pr(\text{state}_i))$$

$$V[\text{payoff}] = E[\text{payoff}^2] - E[\text{payoff}]^2$$

Risk Aversion

- A risk-averse person prefers a lower standard deviation of payoffs when expected payoff remains fixed.
- A risk-neutral person cares only about expected value and is indifferent to the amount of risk.
- **Certainty equivalent:** a fixed payment that gives the same satisfaction as a risky option.
- **Risk premium:** the additional expected payment needed to keep someone indifferent between a risky and a certain option.

Example: if a person is indifferent between a fixed salary of **\$80,000** and a commission scheme with expected value **\$100,000**, the certainty equivalent is \$80,000 and the risk premium is \$20,000.

Risk Aversion and Compensation

- How diversified is the wealth of shareholders?
- How diversified is the wealth of a CEO?
- Who has more reason to be risk-averse?
- Does this create a conflict of objectives? How could it be addressed?

Alternative Models of Behavior

- Some management problems require attention to individual characteristics, such as hiring a CEO for the firm's next stage of development.
- Psychological attributes, past experiences, and social capital or networks differ across candidates.
- The economic approach has limits.
- Psychology and sociology can complement, or sometimes improve, the analysis of behavior.

Summary

Main concepts:

- Economic choice problem.
- Knowledge and bounded rationality.
- Marginal and sunk costs and benefits.
- Opportunity cost.
- Risk aversion.